

Economists: Weintraub (2002), Szenberg (1992).

Portfolio theory and modern finance: Markowitz (1952, 1959), Huang and Litzenberger (1988) and Sharpe (1994, 1996). What is called the Sharpe ratio is meaningless outside of Mediocristan. The contents of Steve Ross's book (Ross [2004]) on "neoclassical finance" are completely canceled if you consider Extremistan in spite of the "elegant" mathematics and the beautiful top-down theories. "Anecdote" of Merton minor in Merton (1992).

Obsession with measurement: Crosby (1997) is often shown to me as convincing evidence that measuring was a great accomplishment not knowing that it applied to Mediocristan and Mediocristan only. Bernstein (1996) makes the same error.

Power laws in finance: Mandelbrot (1963), Gabaix et al. (2003), and Stanley et al. (2000). Kaizoji and Kaizoji (2004), Véhel and Walter (2002). Land prices: Kaizoji (2003). Magisterial: Bouchaud and Potters (2003).

Equity premium puzzle: If you accept fat tails, there is no equity premium puzzle. Benartzi and Thaler (1995) offer a psychological explanation, not realizing that variance is not the measure. So do many others.

Covered writes: a sucker's game as you cut your upside—conditional on the upside being breached, the stock should rally a lot more than intuitively accepted. For a representative mistake, see Board et al. (2000).

Nobel family: "Nobel Descendant Slams Economics Prize," *The Local*, September 28, 2005, Stockholm.

Double bubble: The problem of derivatives is that if the underlying security has mild fat tails and follows a mild power law (i.e., a tail exponent of three or higher), the derivative will produce far fatter tails (if the payoff is in squares, then the tail exponent of the derivatives portfolio will be half that of the primitive). This makes the Black-Scholes-Merton equation twice as unfit!

Poisson busting: The best way to figure out the problems of the Poisson as a substitute for a scalable is to calibrate a Poisson and compute the errors out of sample. The same applies to methods such as GARCH—